Media, Public Interest & Inflation in Germany (2022-2024)

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11.6% **Peak Inflation** (Oct 2022)

170.2 **Max. Energy Index** (Shock Phase)

777 **News Articles** (Peak Monthly Volume)

3.2% **Avg. Unemployment** (Highly Stable)

1. Goals

This study investigates the transmission mechanisms between macroeconomic indicators and public economic anxiety in Germany (2022–2024). Utilizing high-frequency search data (**Google Trends**), news volume (**GDELT**), and official indices (**Destatis**), we assess whether public sentiment is driven by objective financial burdens or amplified by media salience.

2. Structural Breaks: The 5% Threshold

Time-series data reveals a pronounced, non-linear threshold effect in public behavior. Empirical evidence demonstrates that search volumes exhibit massive structural breaks exclusively during periods where the core inflation rate exceeds the 5% margin.

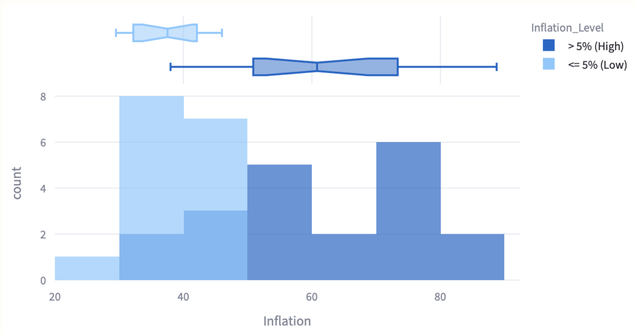

Figure 1: Search volume distribution segmented by the 5% threshold.

Subsequent to disinflation below this psychological boundary (e.g., throughout 2024), macroeconomic anxiety dissipates almost entirely.

6. Conclusion

The 2022-2024 economic crisis was predominantly an **"event-driven media" phenomenon**. Public anxiety exhibits extreme elasticity to media narratives, but profound mathematical inelasticity to prolonged food inflation and stable labor markets.

→ Economic crises in the public consciousness are as much psychological as they are mathematical.

Data Repository & Live Application

https://data-science-project-26.streamlit.app

References:

- Destatis (2024): CPI, Energy/Food, Labour.
- Google Trends (2024): SVI.
- GDELT Project (2024).

3. Media-Driven Attention Dynamics & Spillovers

Empirical evidence demonstrates a profound synchronization between media reporting volume and search interest. Furthermore, an autoregressive lagged effect indicates that media saturation in the previous month serves as a robust leading indicator for public anxiety in the following period, establishing the media as a primary catalyst for economic panic.

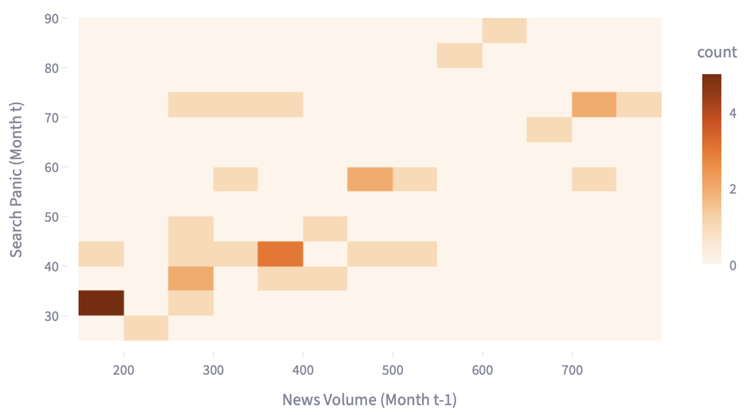

Figure 2: News Volume perfectly shadows Search Trends.

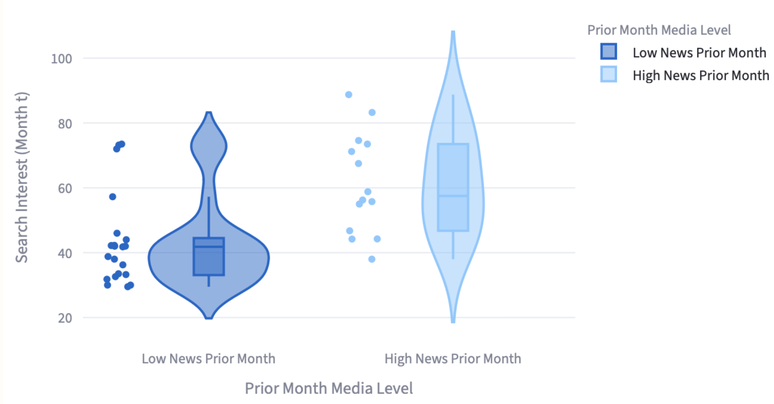

Figure 3: Lagged Spillover: Prior month's news vs. anxiety.

4. Asymmetric Habituation: Energy vs. Food

We identify a stark asymmetry in the public's response based on the specific inflation vector. High-volatility exogenous shocks (**Energy Prices**) act as acute triggers for search interest. Conversely, prolonged price increases (**Food Prices**) show a decoupling effect, inducing a significant **psychological habituation**. Public concern is concentrated at lower price levels and dissipates as food costs continue to rise.

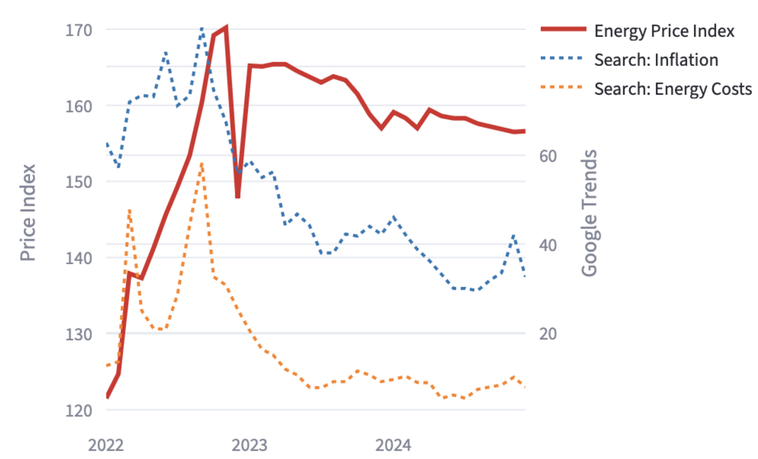

Figure 4: Energy Price Volatility vs. Synchronous Panic.

Figure 5: Density Contour: Concentration of Concern vs. Food Prices.

5. Multivariate Interactions & Trajectories

Cross-sectional analysis reveals that **news volume** acts as the supreme driver of public panic. Surprisingly, **energy prices** exhibit no long-term linear correlation with the media cycle, proving panic was driven by initial shock momentum rather than ongoing price levels. Steady **food inflation** and stable **unemployment** highlight that public sentiment normalizes quickly while structural issues persist.

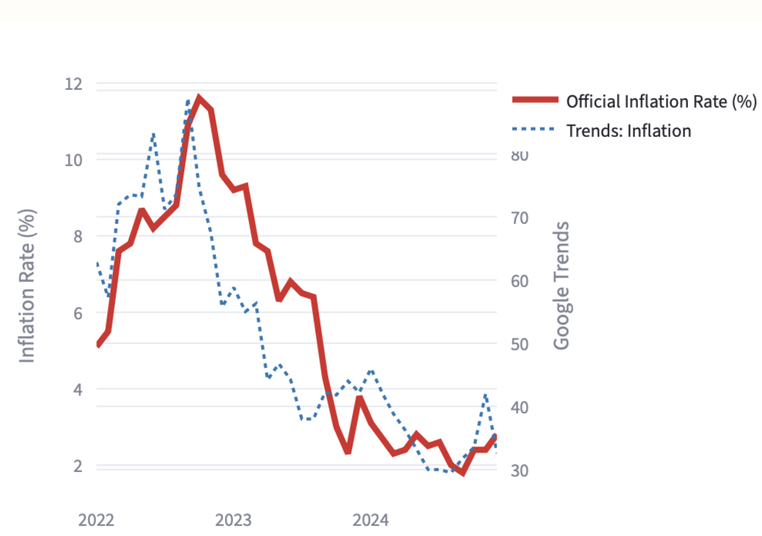

Figure 6: Trajectory Divergence: Official Inflation vs. Trend Decay.

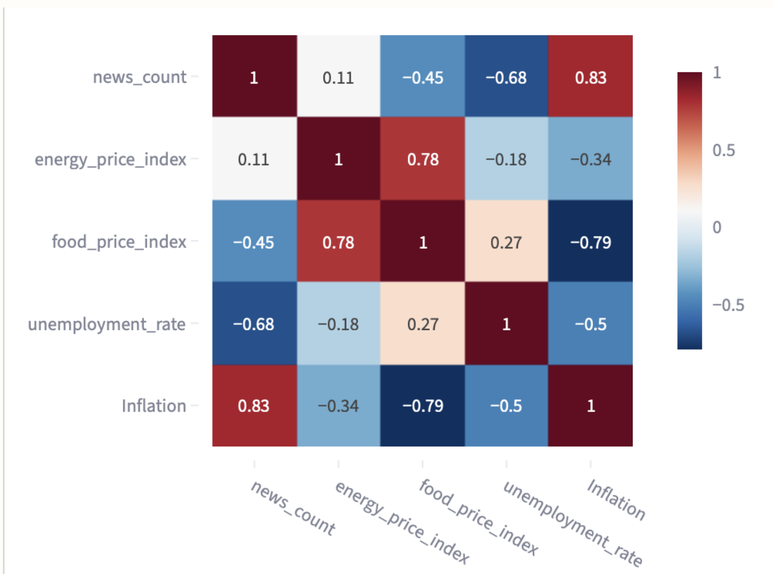

Figure 7: Correlation Matrix: Macro indicators vs. Media/Trends.